Meridian Property Research
Residential and land market research

Industrial and Logistics Property Market Update

Vacancy, rents, yields and the cold storage premium across Sydney, Melbourne and Brisbane, Ap

Prepared for Quillwood Credit Partners
Meridian Property Research
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Markets covered	Sydney, Melbourne (including Melbourne west), Brisbane

Document details

1. Summary

Occupier demand for modern industrial and logistics space remains firm in the eastern seaboard markets, and vacancy is low by historical standards in all three major cities. Sydney is the tightest market at 2.1% vacancy, followed by Brisbane at 2.9% and Melbourne at 3.8%. Within Melbourne, the western corridor is looser at 4.6%, reflecting a larger share of recent speculative completions.

Prime net face rents have continued to grow in Sydney and Brisbane, while Melbourne growth has slowed and incentives have widened. Prime capitalisation rates sit in a range of 5.25% to 5.75%, with little movement over the past two quarters. Cold storage continues to attract a rental premium of roughly 35% over ambient prime space, with a yield margin of about 50 basis points reflecting specialised fit-out and re-letting risk.

For lenders, the sector remains one of the more defensible property exposures, but the dispersion between markets and between asset quality is widening. Our key observations are:

- Sydney vacancy of 2.1% supports continued rental growth, but pricing already reflects this and yields have limited room to compress further.
- Melbourne west is the main area of caution, with vacancy of 4.6% and incentives of around 16% on prime space.
- Brisbane offers a balance of low vacancy and moderate supply, with prime yields at 5.50%.
- Cold storage rents and yields both carry a premium, and underwriting should focus on tenant covenant and the alternative use value of the building.

2. Market indicators

Table 1 sets out the principal indicators for prime-grade stock as at April 2026. Rents are net face rents per square metre per annum for prime facilities of 10,000 square metres or more in the main established precincts. Incentives are expressed as a percentage of the headline lease value over a typical five to ten year term.

Market	Vacancy	Prime rent (A$/sqm)	Annual growth	Incentive
Sydney	2.1%	235	4.5%	8%
Melbourne	3.8%	158	2.0%	14%
Melbourne west	4.6%	148	1.5%	16%
Brisbane	2.9%	170	3.5%	10%

Table 1: Prime industrial indicators, April 2026

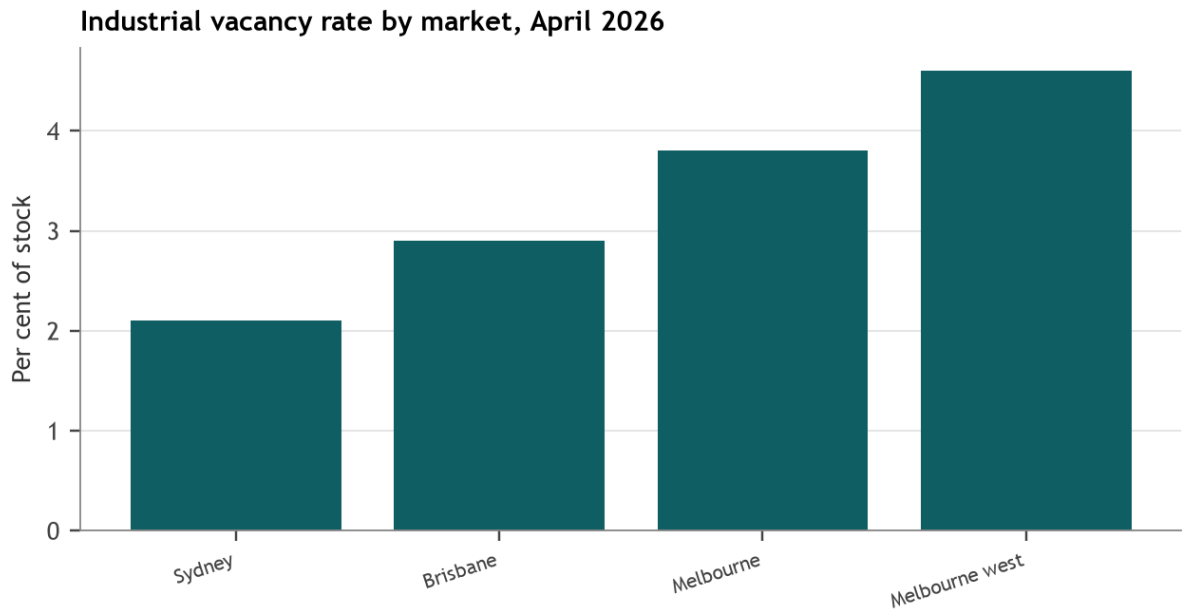


Figure 1: Vacancy rates, April 2026

3. Vacancy and supply

3.1 Sydney

Sydney vacancy of 2.1% reflects a shortage of zoned and serviced land in the established western and south western precincts. Occupiers seeking large floorplates continue to compete for a small number of available buildings, and pre-commitment is common on new developments. Vacancy is lowest in the smaller and mid-sized tenancy segments, where options are most limited.

3.2 Melbourne

Melbourne vacancy of 3.8% is the highest of the three markets, and the western corridor at 4.6% is higher again. Land availability in the west has allowed developers to deliver supply quickly, and some speculative buildings have taken longer to lease than expected. The north and south east precincts are tighter than the metropolitan average. We expect the western vacancy rate to remain above 4% through 2026 as the current pipeline completes.

3.3 Brisbane

Brisbane vacancy of 2.9% is supported by port-related demand, population growth and the infrastructure program leading into the 2032 Olympic and Paralympic Games. Supply has increased from a low base but remains broadly in line with take-up. Land costs have risen materially, which supports rents on new product and limits the scope for aggressive speculative development.

4. Prime rents and incentives

Sydney prime rents of A$235 per square metre are the highest of the three markets, and annual growth of 4.5% is well ahead of Melbourne. Incentives in Sydney of around 8% are at the low end of the range seen over the past decade, which means effective rental growth is tracking close to face growth.

In Melbourne, prime face rents of A$158 per square metre have grown by only 2.0% over the year, and the gap between face and effective rent is wider. In the west, face rents of A$148 per square metre with incentives of 16% imply an effective rent materially below the headline. Valuers relying on face rents without adjusting for incentives may overstate income quality in this submarket.

Brisbane prime rents of A$170 per square metre have grown by 3.5%, with incentives of 10%. Rents in Brisbane remain well below Sydney, and we see continued scope for catch-up where vacancy stays below 3%.

5. Capitalisation rates and pricing

Prime capitalisation rates range from 5.25% in Sydney to 5.75% in Melbourne west. Transaction evidence over the past six months has been consistent with these levels, supported by domestic wholesale funds, superannuation capital and a modest return of offshore buyers. Secondary assets with shorter lease terms or older specifications are priced 75 to 100 basis points wider than prime.

Market	Prime ambient	Secondary	Prime cold storage
Sydney	5.25%	6.00%	5.75%
Melbourne	5.50%	6.25%	6.00%
Melbourne west	5.75%	6.75%	n/a
Brisbane	5.50%	6.25%	6.00%

Table 2: Capitalisation rates by grade, April 2026

Rate sensitivity is relevant for loan underwriting. A 75 basis point expansion from a 5.50% prime yield to 6.25% would reduce the capital value of an asset with unchanged income by about 12.0%. A 50 basis point expansion from the same starting point would reduce value by about 8.3%. In Sydney, a 75 basis point move from 5.25% to 6.00% implies a fall of 12.5%. These are mechanical effects only, and rental growth in tight markets would partly offset them.

6. Cold storage

Cold storage and temperature-controlled facilities continue to command a premium to ambient prime space. Current face rents are approximately A$320 per square metre in Sydney, A$215 in Melbourne and A$230 in Brisbane. These levels are roughly 35% to 36% above ambient prime in each market. The premium reflects higher construction cost, refrigeration plant, power infrastructure and the limited supply of suitably zoned sites.

Yields for prime cold storage are about 50 basis points wider than ambient prime in each market where evidence exists. Investors price in the specialised nature of the improvements, shorter useful life of plant, and the cost of converting the building to ambient use if the tenant vacates. Tenant concentration is also higher, with a small number of food manufacturers, grocery distributors and third party logistics providers accounting for most demand.

For credit purposes, we suggest the following approach to cold storage security:

- Place weight on the tenant covenant and lease term rather than on the rental premium alone.
- Assess the residual value on an ambient conversion basis, deducting the estimated cost of removing or decommissioning refrigeration plant.
- Confirm the age, condition and maintenance regime of the plant, and who is responsible for replacement under the lease.
- Test power capacity and the ability of the site to secure additional supply, as this is a common constraint for new facilities.

7. Outlook and implications for lenders

We expect Sydney to remain the strongest market over the next twelve months, with rental growth moderating from the current 4.5% but remaining positive. Brisbane should continue to perform, provided supply does not accelerate. Melbourne is likely to see subdued growth, and the west requires careful asset-level analysis. Prime capitalisation rates are expected to remain broadly stable within the 5.25% to 5.75% range, with the largest risk being a rise in the cost of debt rather than a deterioration in occupier demand.

For senior and stretch senior lending against industrial assets, we suggest the following considerations when comparing opportunities across markets.

Consideration	Sydney	Melbourne	Brisbane
Vacancy risk	Low	Moderate	Low
Incentive leakage	Low	High in west	Moderate
Rental growth outlook	Positive	Subdued	Positive
Valuation sensitivity	Yield driven	Income driven	Balanced

Table 3: Relative credit considerations by market

Lenders should obtain valuations that clearly separate face rent from effective rent, and should test debt service cover and loan to value ratio against a yield expansion of at least 50 to 75 basis points. In Melbourne west, a lease-up risk assessment should be included for any asset with vacancy or near-term expiry.

8. Sources and basis of preparation

Vacancy, rent and incentive data are based on Meridian Property Research analysis of prime-grade stock in established industrial precincts as at April 2026. Capitalisation rates are derived from observed transactions and broker and valuer feedback. Figures are rounded and are indicative of the market as a whole, not of any individual asset. This report is general in nature and does not constitute a valuation or financial product advice.